

Notice of Intent to Award a Sole Source Contract

This letter serves as formal notice of the United States Coast Guard's (USCG) intent to procure Hull Form Licenses (HFL) for the Offshore Patrol Cutter (OPC) from Vard Marine Inc. (VARD) on a sole-source basis. After conducting market research, USCG have determined that VARD is the only source capable of providing the licenses that meets USCG specific needs.

I. Description of the Requirement

USCG require exclusive, irrevocable, worldwide Hull Form Licenses for the proprietary hull design developed by VARD for the Offshore Patrol Cutter. The United States Government is executing the Offshore Patrol Cutter (OPC) program to construct a class of cutters based on this proprietary hull form. These licenses are for hulls 1, 2, and 6 through 25. Securing these licenses is necessary to allow the USCG to continue uninterrupted construction on up to 25 OPC cutters and to grant the USCG full control over the vessel's lifecycle, including all future maintenance, modernization, and technical evaluations.

II. Rationale for Sole Sourcing

USCG market research has confirmed that Vard Marine Inc. is the only vendor that can meet its requirements. The hull form is a foundational element of the OPC design and is protected by proprietary rights. VARD is the original design authority and sole owner of the OPC hull form intellectual property. No other source can legally provide licenses, authorize use, or deliver the underlying technical data without infringing on VARD's proprietary rights. This procurement will establish a direct contractual relationship with VARD to ensure uninterrupted, authorized use of the hull form in support of OPC construction and lifecycle sustainment. Accordingly, this requirement meets the criteria of FAR 6.103-1, Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.

This is based on the following factors:

- **Proprietary Technology:** VARD is the sole design authority and owner of the OPC hull form, which contains proprietary intellectual property and design features not available from any other source.
- **Compatibility with Existing Equipment:** The requested licenses are for a specific, proprietary hull design that forms the foundation of the entire OPC fleet. Utilizing any other design would be incompatible with the established OPC program, construction process, and existing vessels.
- **Unique Qualifications:** VARD possesses unique and unparalleled expertise as the original designer and sole owner of the intellectual property for the OPC hull form.

III. Market Research and Alternatives Considered

USCG market research confirmed that due to the proprietary nature of the OPC hull design, no other source can legally provide the required licenses or authorize its use. VARD is the original design authority and sole owner of the intellectual property. Therefore, no other vendors could be considered as viable alternatives.

IV. Cost and Price Reasonableness

The estimated cost of this procurement is \$16,750,000.00. USCG have determined this price to be fair and reasonable. Acquiring the remaining HFL at this cost reduces the risk of potential future cost growth and eliminates the need for future negotiations, providing long-term cost stability for the program.

V. Conclusion

Based on the information presented above, the Government will seek to procure the Hull Form Licenses for the Offshore Patrol Cutter from Vard Marine Inc. as a sole-source provider. This notice of intent is not a request for competitive proposals. However, all responsible sources may submit a capability statement, proposal, or quotation, which shall be considered by the agency. A determination by the Government not to compete this proposed contract based upon responses to this notice is solely within the discretion of the Government.

Please send all responses to this notice to the below Points of Contact.

Points of Contact:

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